

The savings scheme, itself, is simple, Ladi found. He had to deposit a fixed amount for a fixed number of months. Once the duration was over, the accumulated money was credited to his account and he bought his desired iPhone 13; on top of that, 10 per cent of the invoice amount was credited to his bank account. No hidden charges, interest component, or processing fees was levied.

What, then, is this scheme? Welcome to the world of Save Now, Buy Later or SNBL, where one can save for a future purchase. The added benefit is that one gets a discount of 10-12 per cent on the purchase price.

In other words, the SNBL model has brought saving and spending on the same platform, and while such schemes have been around for a while, a clutch of start-ups is now using tech and data to disrupt this segment. And they earn a commission from merchants on every transaction.

Some players like Tortoise, Hubble and Multipl—that operate in the SNBL space in India—have seen strong traction among users, although the segment is still in its infancy. That, however, has not stopped some of the marquee names of the investor community—Sequoia Capital, Blume Ventures, IIFL Finance, Kunal Shah (of Cred) and Sriharsha Ma-

jety (of Swiggy), among others—from entering the ring. Data from Tracxn shows that while Hubble is backed by Sequoia and Snapdeal Co-founder Kunal Bahl, among others, Bengaluru-based Tortoise is backed by Vertex Ventures and Better Capital along with Cred's Shah. Meanwhile, Multipl has been funded by Blume Ventures, IIFL Finance, GrowX Venture Management, and Kotak Securities, among others.

So, what exactly are these start-ups offering that has convinced some of the most sophisticated and smart investors to pour money into them?

YOUR MONEY, YOUR GOALS

There are a number of reasons. To start with, simplicity, flexibility and, above all, planning with one's own money, not borrowed funds. "India is a country where a majority of the people are savers but traditional savings instruments are not rewarding," says Neeraj Tulsyan, Co-founder of Hubble, adding that till recently, there was no efficient system of bringing merchants and consumers on the same platform while avoiding debt.

The Gurugram-based start-up—that launched in April this year—currently has tie-ups with merchants such as Nykaa, Myntra, Croma and Bluestone, and is in

the process of collaborating with 20 more brands.

Delhi-based Tortoise is another start-up gaining traction in the SNBL space. It offers a minimum 10 per cent incentive to every user who "saves to buy" on the platform. "Save to buy is a very natural thing to do and has been happening in the jewellery segment for years. We have expanded it to categories like electronics and travel," says Vardhan Koshal, Co-founder of Tortoise.

Currently, most of the merchant tie-ups are in categories such as travel, gadgets and appliances, though the start-ups are actively working towards enhancing the bouquet of categories or goals. For instance, wedding as a goal has been gaining prominence.

Here is how it works: Following a simple registration process, users can choose a merchant (for example, from Apple, MakeMyTrip, Nykaa, etc.) through which he or she intends to make the purchase. After that, the user has to select the goal amount and the duration of the deposits; one can start with as low as ₹500 per month. For instance, if one is targeting a purchase of ₹50,000, one can set aside an amount of ₹5,000 every month for 10 months, or any other variation depending on the amount of money one can save every month.

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IN SAVE NOW, BUY LATER, ONE CAN SAVE FOR A FUTURE PURCHASE. THE ADDED BENEFIT IS THAT ONE GETS DISCOUNTS RANGING FROM 10 TO 12 PER CENT ON THE PURCHASE PRICE

